



United States
Attorney's Office
Eastern District of Virginia



Medical group agrees to pay \$2.8M to settle False Claims Act allegations

Wednesday, April 2, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Virginia

ALEXANDRIA, Va. – Fairfax Radiological Consultants, PLLC formerly known as Fairfax Radiological Consultants, P.C. (FRC), of Fairfax, agreed to pay \$2,881,260 to settle False Claims Act allegations that it falsely reported its payroll costs to receive full forgiveness of a \$6.7 million Paycheck Protection Program (PPP) loan.

The PPP offered loans to eligible small businesses for economic relief during the COVID-19 pandemic. PPP borrowers were required to provide their income and supporting documents to qualify for the loan amount and for later loan forgiveness.

In 2019, FRC employed over 500 individuals. Using its 2019 employee payroll, FRC was able to apply for a \$6.8 million PPP loan in April 2020. At the time of its April 2020 PPP loan application, FRC employed less than 100 people.

In April 2021, FRC applied for forgiveness of the loan. The United States alleged that FRC falsely represented its eligible payroll costs for 98 employees in its loan forgiveness application, which enabled FRC to receive full forgiveness of the \$6.8 million loan. The United States alleged that, in actuality, FRC was only entitled to loan forgiveness of \$4,945,860.

The matter was investigated by Assistant U.S. Attorney Gina Kim and auditor Peter Melaragni.

A copy of this press release may be found on the website of the [U.S. Attorney's Office for the Eastern District of Virginia](#).

The civil claims settled are allegations only; there has been no determination of civil liability.

Contact

Press Officer

USAVAE.Press@usdoj.gov

Topic

FALSE CLAIMS ACT

Component

[USAO - Virginia, Eastern](#)

Related Content

PRESS RELEASE

Defense contractor to pay \$7.75M to resolve False Claims Act allegations

Defense contractor Sierra Nevada Company agrees to pay \$7.75M to resolve False Claims Act allegations .

July 28, 2026

PRESS RELEASE

Wholesale steel distributors settle Paycheck Protection Program false claims

Seven wholesale steel distributors have agreed to pay \$3.3M to settle False Claims Act allegations arising from the submission of statements on their applications for Paycheck Protection Program loans.

March 9, 2026

PRESS RELEASE

Restaurant management company settles False Claims Act allegations involving Paycheck Protection loan

Both Management Services, Inc. has agreed to pay \$750,000 to settle False Claims Act allegations that it certified that it was eligible to receive first and second draw loans under...

May 28, 2025



Eastern District of Virginia

Justin W. Williams United States Attorney's

